Prices Are Rising Faster Than Expected

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Prices in the United States are going up faster than experts expected. That is what a new report about **inflation** showed on Wednesday. **Inflation** means the cost of everyday things goes up, so the same money buys less.

The report found that prices were 3.7 percent higher than a year ago.

Heather Long is an **economist**, a person who studies money and the economy. She told PBS NewsHour that about half of the rise came from high gas and **diesel** prices. The other half came from many other things, like medical care, toys, clothes and car repairs.

Long said the Federal Reserve will likely need to raise **interest rates** again. She also said **wages** are growing by only about 3 percent, so many paychecks are not keeping up with prices.

Some families said they must watch their money closely. The report comes three weeks before the **midterm elections**.

Word Treasure

inflation -- Inflation is when prices go up over time, so money buys less.

economist -- An economist is a person who studies money and how the economy works.

diesel -- Diesel is a kind of fuel used by trucks, tractors and some cars.

interest rates -- Interest rates are the extra money people pay when they borrow money.

wages -- Wages are the money people get paid for working.

midterm elections -- Midterm elections are U.S. elections held halfway between presidential elections.

Background you need

Inflation means prices for things like food, gas and clothes go up over time.

When prices rise faster than the money people earn, families can buy less.

The Federal Reserve can raise interest rates to try to slow rising prices.

Break it down

WHO: Economist Heather Long, speaking to PBS NewsHour about a new inflation report
WHAT: US prices rose 3.7 percent from a year ago, faster than experts expected
WHERE: Across the United States, at stores, gas stations and repair shops
WHY: High gas and diesel prices plus rising costs for many other things like toys and clothes

Why it matters

When prices go up faster than paychecks, families may have less money for things like food, clothes and fun.

Test what you remember

1. How much higher were prices than a year ago?

- (A) 50 percent
- (B) 3.7 percent
- (C) 10 percent
- (D) 1 percent

2. What does inflation mean?

- (A) Money gets bigger
- (B) Prices go down
- (C) Stores close early
- (D) The cost of everyday things goes up

3. Who is Heather Long?

- (A) An economist
- (B) A farmer
- (C) A singer
- (D) A teacher

4. About how much of the price rise came from gas and diesel?

- (A) A tiny bit
- (B) All of it
- (C) None
- (D) About half

5. What did Long say the Federal Reserve will likely do?

- (A) Raise interest rates again
- (B) Give out free toys
- (C) Close banks
- (D) Lower gas prices

6. When are the midterm elections?

- (A) In ten years
- (B) Next year
- (C) Tomorrow
- (D) In three weeks

Answer key (try the quiz first!): 1: B 2: D 3: A 4: D 5: A 6: D

Questions to think about

1. Heather Long: She says prices are rising for many things and the Federal Reserve will likely raise interest rates again.

MY THOUGHTS (at least 20 words):